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BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 24-13

ACCESS ONE TRANSPORT, INC.
Complainant,

v.

COSCO SHIPPING LINES CO. LTD.
Respondent.

COMPLAINANT’S REPLY BRIEF

Comes now Access One Transport, Inc. (“Access” or “Complainant”) and hereby submits its reply brief for adjudication of claims against COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) for violations of the Shipping Act of 1984 as amended (the “Act”) at 46 U.S.C. §§41102(c), 41104(a)(3) & (8).¹

¹ Confidential references are in **RED BOLD TYPE**. The public version of this document will redact the confidential references.

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SUMMARY

In its opening brief, proposed facts and supporting appendix, Access sufficiently argued and provided adequate proof to show that COSCO violated the Act at 46 U.S.C. §§41102(c), 41104(a)(3) & (8). COSCO's myopic and misinterpretation of the applicable law and facts, and its failure to provide any contrary evidence, does not support any defense to Access' claims. Instead, COSCO admit several salient facts which absolutely support Access' claims, to wit;

a. COSCO was responsible for having adequate facilities for its operations including the return of empty containers, see COSCO's Response to CF 115.

b. COSCO admits it cancelled invoicing for 319 containers, see COSCO Response to CF 39.

c. COSCO admits for all of the cancelled invoices for those 319 containers and their related billed dates, Access "was able to demonstrate container return appointment unavailability" see COSCO Response to CF 68.

d. COSCO admits Access incurred storage, chassis, stop off and redelivery charges as a result of COSCO's inability to accept empty containers, see COSCO Response to CF 48.

COSCO, having no defense, resorts to misstating Access' claims in an effort to reduce its liability and corresponding damages caused to Access. Contrary to COSCO's assertion, Access' claims are not limited to the remaining 61 containers for which detention has not been cancelled. Admittedly, before and during the pendency of this action, COSCO did cancel charges for 319 containers which represented the majority of detention invoices directed to Access. However, Access makes it clear its claims concern the wrongful billing of detention on all containers, cancellation of the remaining invoices on those 61 containers, violations concerning COSCO's unlawful billing practices and damages caused by COSCO's continuing and intentional refusal to

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provide adequate space for return of its empty containers. Access also has established violations of the Act due to COSCO's dual transaction requirements.

Access was quite clear that it was only withdrawing claims as to 20 containers specifically identified² (see Access' Opening Brief, pg. 5 fn.1). As succinctly stated by Access in its opening brief summary: "Access is seeking cancellation of the remaining paid invoices with a refund of the amounts paid, reparations for damages caused by COSCO for the responsibility to store COSCO's empty containers pending the return, chassis use, stop over charges, re-delivery charges, interest and attorney's fees." See Access Opening Brief, pg. 5. In its opening brief, Access was unequivocal that it was seeking reparations not only for the billing practices of COSCO but also its refusal to provide adequate facilities for the return of empty containers. For example, see Access Opening Brief pp. 6-12, 34-43.

Not surprisingly, COSCO could not mount a defense to its admitted unlawful conduct. In its opening brief and supporting facts and evidence, Access has demonstrated, now with the recent help of COSCO's admissions, that COSCO's routine practices of not having adequate space for its operations including the return of empty containers, wrongful billing for detention when no space or appointments were available for the return of empty containers, billing for instances when only dual appointments were available, and the corresponding need for Access to store containers, chassis, and be responsible for re-delivery and stop over charges when COSCO did not accept empty containers, were all caused by COSCO's violations of the Act. COSCO's attempted defense

²Access' claims originally concerned 399 container. Access hereby withdraws its claims as to the following containers without prejudice: CSNU7471846, CSNU6843928, OOLU8778304, OOCU7028675, TCNU3887450, OOLU9967200, BEAU4687084, FFAU2749388, OOCU7547921, FCIU4983480, CCLU6990242, OOCU7117068, CSNU1144131, TGBU5730331, CSNU7372252, OOLU9541976, SEGU6619481, TGHU0550452, BEAU5659596 and OOLU4950061. The remaining 379 are still in issue.

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relies upon some curious notions, i.e., that it has no responsibility to accept empty containers (which is now contradicted by its admission in response to CF 115); that somehow it is not responsible for the terminals which it designates to have adequate space for return of empty containers; that it has no obligation to determine if the detention charges assessed against Access were valid in the first instance before billing; and last, that it has no obligation to pay for damages proximally caused by its violative conduct. While Access is confident that its opening brief, findings of fact and appendix adequately support its claims, including liability and damages, this reply brief is intended to address some of the most egregious and false arguments being made by COSCO in an attempt to escape liability herein.

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INTRODUCTION AND BACKGROUND FACTS

Access provided a detailed recital of the salient facts in its opening brief at Pages 6 through 12 which is incorporated by this reference. For ease of review of its reply, the below facts are provided as well. The below truncated statement of facts is not intended to be a waiver of any fact identified in its opening brief or proposed statement of facts.

Access filed its complaint against COSCO alleging violations of the Act at 46 U.S.C. §§41102(c), 41104(a)(3) & (8).

COSCO is an ocean common carrier (CF 1³). Access is a motor carrier (CF 2). As related to Access' current claims, from on or about July 2021 through October 2022 (the "Relevant Time Period"), Access in its ordinary course of business, pulled full containers from COSCO designated terminals in the Ports of Los Angeles and Long Beach (hereinafter "LALB") for delivery to Access and COSCO customers and to return empty containers to COSCO designated terminals (CF 3). After the customers had unloaded the cargo therein, Access in the regular course would attempt to return the empty containers to COSCO within the free time allowed (CF 5). Access provided motor carrier drayage services on behalf of COSCO in conjunction with the consignee ("Carrier Haulage") and on behalf of consignees/cargo owners alone ("Merchant Haulage") (CF 6). In both cases, COSCO would designate the available terminals for return of empty containers in LALB (CF 9). When COSCO designated terminal availability, Access found that either the terminals did not have any appointments available for return of the empty containers or were requiring "dual" transactions in order to return an empty container thus prohibiting the return of the empty container in a timely fashion (CF 10). A dual transaction requires the motor carrier to pick up a full container

³ Complainant's Proposed Finding of Facts were submitted with its opening brief. Complainant's proposed facts are designated as "CF". COSCO's response and Access' reply thereto have been filed concurrently herewith.

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at the same time it dropped off an empty container. If a motor carrier does not have a corresponding full pick up at the terminal it may not drop off the empty (CF 11).

COSCO would designate locations for empty terminals via eModal through direct email from COSCO's Long Beach Customer Service Center (CF 20). In addition, motor carriers such as Access could obtain the designated empty container terminal location information through services such as Blue Cargo (CF 22). Access employees would consult the information provided by COSCO/eModal on a daily basis in an effort to determine if there were locations that were designated as an empty terminal location and attempted to make appointments to return the empty containers (CF 23, 24). Access discovered there were no actual appointments available to return empty containers to COSCO terminals even when COSCO had designated a terminal for returns (CF 25). Access would also contact the designated terminal or COSCO to determine alternative locations or appointment availability (CF 26). Where dual transactions were required, Access did not have the requisite full container pick up to allow a delivery of an empty container to the terminal (CF 27).

During the Relevant Time Period, as related to its current claims, Access had difficulties returning 379 containers and was invoiced detention charges totaling \$350,785.00 (CF 28). Access disputed all of the detention invoices which are subject to this action (CF 29). COSCO admits it cancelled invoicing for 319 containers, see COSCO Response to CF 39. COSCO admits for all of the cancelled invoices for those 319 containers and their related billed dates, Access "was able to demonstrate container return appointment unavailability" see COSCO Response to CF 68.

Before and during the pendency of this action, COSCO threatened to "shut out" Access for failure to pay all detention charges and did in fact shut out Access. In addition, COSCO also

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threatened to shut out Access in February 2022 when COSCO actually owed Access for unpaid invoices on Carrier Haulage performed by Access for COSCO (CF 30).

During the pendency of this action COSCO reversed course on the outstanding unpaid detention invoices. As of May 2024 COSCO cancelled all detention charges on the previously pending open invoices except for one partial invoice⁴ (CF 37). COSCO has confirmed that only the one partial invoice remains outstanding which was part of Access original claim (CF 38)⁵. Thus at present, invoices related to the claim stand as follows (CF 39):

1. Detention charges were paid on 61 containers totaling \$45,995.00.
2. COSCO cancelled detention charges in whole or part on 319 containers totaling \$307,990.00.

In doing so, COSCO has admitted to the violations complained by Access (CF 40, 41). COSCO admits for all cancelled invoices and their related billed dates, Access “was able to demonstrate container return appointment unavailability” see COSCO Response to CF 68. Thus, COSCO cancelled the invoices knowing they were for charges when there was no terminal availability or appointments for the return of empty containers (CF 29 & 41). Further, COSCO’s actions in demanding payment of some detention charges but not others were arbitrary and capricious since COSCO would demand payment and also cancel charges for some of the same dates and would demand charges when there was no availability to return the empty containers or if only dual appointments were available in the first instance (CF 35). COSCO, during discovery herein, refused to explain this arbitrary conduct (CF 36) and has not proffered any evidence to

⁴ Invoice HOU00098381 was originally in the amount of \$27,200.00. COSCO has partially cancelled invoice HOU00098381 and now claims that only \$11,800.00 remains. However, this invoice has been withdrawn from Access’ claims.

⁵ COSCO’s statement of account also lists two additional invoices which are outside of the scope of the Relevant Time Period and not subject to this action (CF 46).

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explain its arbitrary conduct. COSCO also now admits for 319 containers, no appointments were available, yet billed detention just the same.

Even though COSCO has now admitted that there was no availability for empty returns on the vast majority of the dates at issue, see COSCO response to CF 68, Access has provided evidence that the containers could not be returned and detention charges should not have been charged in the first place and should have been cancelled long ago (CF 43). In the few instances where Access does not have documentary information as to terminal locations on certain dates, Access' witness testimony and COSCO's actions in cancelling the related invoices should suffice to show the lack of empty return terminal locations and hence the violation of the Act (CF 44, see also CF 29 & 41). COSCO has not provided any contra-evidence to rebut Access's evidence that appointments were not available for the return of the empty containers.

During the Relevant Time Period, since Access was unable to return the empty containers, Access was forced to keep the empty containers mounted on chassis owned or controlled by Access (or a pool chassis), and was forced to be responsible for storage of COSCO's empty containers at yards controlled by Access or which Access was allowed use (CF 45). Further because of the ongoing difficulties in obtaining empty terminal locations, where indicated in Access Claim Summary, Access would stop off the containers at its yard and then arrange for re-delivery once terminal appointments became available instead of taking the empty directly from consignee's premises directly back to the COSCO designated terminal. (CF 47).

Storage charges, chassis charges, stop over charges and redelivery charges were assessed by Access to COSCO (CF 48). The charges, including the dates on which they were assessed are reflected on invoices sent to COSCO by Access (CF 49). COSCO has not remitted payment on

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any of the claimed charges for the services provided by Access (CF 50). . The total charges assessed were (CF 51):

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00

Access has not been paid any of these charges (CF 52). Again, COSCO makes no effort to provide any counter evidence that Access did not provide such services or to show the amounts charged by Access were unreasonable. Instead, COSCO admits these charges were incurred by Access, see COSCO response to CF 48.

The violations of 46 U.S.C. §§41104(a)(3) & (8) are predicated on the unlawful practice of requiring “dual” transactions to return an empty container (CF 53). Access maintains any requirement of a dual transaction for the return of an empty container and the resulting detention charges when the empty is not returned as part of a dual transaction constitutes an unreasonable preference or practice per 46 U.S.C. §41104(a)(3) and (8) and thus is an independent violation of the Act.

PROPOSED FINDINGS OF FACT

Access’ Proposed Findings of Fact were designated as “CF”. Access’ supporting Appendix had been bound separately and filed concurrently with its opening brief. Access provided proposed findings of fact and referenced evidence thereon in its opening brief at Pages 12 through 34. COSCO provided a response to Complainant's proposed findings of fact as a separate document, as well as Respondent's proposed findings of fact as a separate document. Access has provided its

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responses to both documents separately and are filed concurrently herewith. Access' responses thereto are incorporated herein by this reference.

ARGUMENT

I. ACCESS, BY A PREPONDERANCE OF THE EVIDENCE, HAS PROVED ITS CLAIMS.

Access acknowledges it must prove its claims by a preponderance of the evidence to prevail; “in other words, demonstrate that the allegations are more probable than not”. See, e.g., *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

Access acknowledges it has the initial burden, but once Access provides sufficient evidence to meet this burden for its prima facie case, the burden of production shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). See also *Steadman v. SEC*, 450 U.S. 91, 101 (1981) (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). As explained in more detail below and in response to COSCO’s proposed findings of fact and Access’ reply to COSCO’s response to Access’ proposed findings of fact, COSCO has failed in dramatic fashion to provide any contra evidence to discredit or rebut Access’ prima facie case. Indeed, COSCO had admitted, most if not all of the elements required to establish as claim under §41102(c).

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II. ACCESS HAS MAINTAINED ITS CLAIMS FOR DAMAGES RELATED TO ALL 379 CONTAINERS AS IDENTIFIED IN ITS OPENING BRIEF

Although Access admits, during the pendency of this litigation, it waived claims on 20 containers, no other claims were abandoned (see Access Opening Brief, pg. 5). Access' Opening Brief, CFs and Appendix make it clear it still seeks reparations related to all remaining 379 containers (see Access Opening Brief, *passim*). While it is true the Presiding Officer need not order COSCO to cancel outstanding invoices which COSCO had already cancelled, COSCO's actions and wrongful practices related to billing for the invalid detention in the first place and inability to accept empty containers on a routine basis related to those containers still remain at issue and caused damage to Access. To paraphrase COSCO, it is "silly" for COSCO to attempt to reframe and limit Access' claims. Access, as Complainant, is the master of its claims *Caterpillar Inc. v. Williams* (1987) 482 U.S. 386, 391 (1987) and COSCO cannot unilaterally truncate Access' claims in an effort to escape liability.

III. ACCESS HAS DEMONSTRATED COSCO VIOLATED 46 U.S.C. § 41102(c)

COSCO's arguments do not contradict Access' ample proof and authority showing that COSCO violated § 41102(c).

A. COSCO's Reliance Upon *TCW v. Evergreen Shipping Agency* and

46 U.S.C. §§541.7 and 541.8 is Misplaced.

1. *TCW v. Evergreen Shipping Agency* is factually dissimilar to the case at bar.

COSCO goes to great lengths in an attempt to persuade the Presiding Officer that *TCW v. Evergreen Shipping Agency* 3 FMC 2d 1 (S.O. 2021), affirmed 5 FMC 2d 192 (FMC 2022) vacated and remanded by *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (DC Cir.

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2024)⁶ should shield it from liability herein without effect. *TCW*, in the first instance was factually dissimilar to the case at bar and even if *TCW* controls, Access has met the criteria which COSCO asserts is required under *TCW*. Further 46 U.S.C. §541.8's effective date of May 28, 2024 was well after the Relevant Time Period and was not retroactive. If somehow COSCO could conjure up the ability to have 46 U.S.C. §541.8 apply retroactively, COSCO had violated its corresponding regulations in any event.

TCW, id. at its heart, concerns the validity or invalidity of the maxim "once in demurrage always in demurrage". In this case, the corollary would be "once in detention always in detention." *TCW, Inc.* was a motor carrier which complained that Evergreen should not have charged it detention for weekend days when terminals were closed⁷. However, in that case, *TCW* made no showing that it had made any efforts whatsoever to return the empty containers during free time and before the dates on which Evergreen had charged for the closed weekend. Evergreen argued that *TCW* should have made efforts to return the containers before the closed weekend. The Commission declined to overrule in its entirety the notion of "once in demurrage always in demurrage" outright but did rule: "[j]ust because a container is in a state of per diem, it does not automatically mean that charges can continue to accrue regardless of circumstance. Rather, the interpretive rule continues to apply, and the practice must be evaluated under that lens." *TCW, id.* at 5 F.M.C. 2d at 202. Since, *inter alia*, *TCW, Inc.* had not shown any attempt to return the empty container prior to the weekend closure, the closure of which it had notice of prior to picking up the

⁶ As a threshold matter, any attempt by COSCO to use the Commission's decision in *TCW* in support of its arguments should be disregarded as the Commission's decision has been vacated by the United States Court of Appeals for the District of Columbia Circuit ("DC Circuit").

⁷ In Access' case, whether or not charges were assessed for weekends (or holiday closures) is simply moot as COSCO admits under the UIIA and local law, COSCO may not charge detention for weekends or holidays. COSCO Opposition Brief, pg. 6 citing RPFF34.

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load, the DC Circuit, on appeal from the Commission's decision in favor of TCW Inc., found the Commission's de facto application of a bright line rule inappropriate and illogical. It vacated the Commission's decision and remanded for further consideration by the Commission to reconsider its decision and to provide a logical reason for its decision beyond the bright line rule, *TCW*, 106 F.4th at 1118.

Access' claims are not on par with those litigated in *TCW*. First off, for detention charges related to 319 of the 379 containers at issue and their related billed dates, Access "was able to demonstrate container return appointment unavailability" see COSCO Response to CF 68.

Access attempted to return the containers during the available free time and continued its attempts to return the containers on a daily basis (CF 10, 20, 23, 24, 25). Thus, factually, Access' claims and the claims ruled upon in the *TCW* case are dissimilar. Access need not reply upon any "bright line" rule, instead it has demonstrated with unopposed evidence, it did all it could to return the containers but was routinely thwarted by COSCO's inability mind its own store.

2. Access has complied with the asserted criteria of *TCW v. Evergreen Shipping Agency*.

COSCO's assertion that *TCW, id.* created its own three pronged criteria for showing a violation of the Act is patently false. COSCO did not point to any page in the DC Circuit's opinion as a basis for the three criteria for good reason; it does not exist. Instead, the *TCW* Court took exception to the Commission's affirmation that Evergreen could not charge detention on days where the terminals were closed without *reviewing* other possible related factors. It held: "the Commission cannot rest upon a bare assertion that a detention charge assessed for a day when a port is closed has no incentivizing effect", *TCW*, 106 F.4th at 1118. The court remanded the matter

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back to the Commission for further proceedings. To date the Commission has not published any subsequent rulings in the *TCW* matter.

Notwithstanding this lack of basis in the Court's opinion, COSCO argues *TCW* stands for the proposition that "a complainant must prove that: (1) the complainant (or its agent) could not pick up or return the container on the specific date; (2) that this inability was due to reasons outside of its control; and (3) the charge assessed for that specific day could not have served to incentivize earlier movement of the container." Access submits it has amply demonstrated COSCO's violation of the act under its analysis of §41102(c) and 46 C.F.R. 545.4 and 545.5. If the additional three pronged criteria are applicable, Access has also demonstrated compliance.

Access did attempt to return the containers in a timely fashion and has established that it continued to attempt to return containers on a daily basis notwithstanding COSCO's inability to provide adequate facilities and appointments for the return thereof (CF 10, 20, 23, 24, 25). COSCO has admitted this factor for at least the inability to return 319 containers, See COSCO Responses to CF 39 and 68. This is not a case where there were opportunities for Access to return the container and refused to do so, but instead, the opportunities simply were non-existent.

COSCO attempts to deflect its own deficiencies by somehow claiming, without supporting evidence, that Access should had its drivers return containers during weekends. The lack of evidence from COSCO is not unexpected especially in light of its admissions. Access, through evidence presented, confirmed Access attempted to return containers before free time and thereafter on a daily basis (CF 10, 20, 23, 24, 25). Access routinely operated on both shifts at the port, on weekends and on holidays (CF 5, 9, 23, 25, 45, 83, 90 and replies thereon). Also, evidence provided by Access confirms 17 containers were in fact returned during weekends (See Access Reply to CF 45, 83, 90, 100). Thus, the first and second criteria were clearly met.

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Since COSCO's terminals did not have adequate space or appointments for the return of empty containers, any detention charges assessed on those dates did not and could not have served to incentivize earlier movement of the container or contribute to cargo fluidity when Access has demonstrated its routine on attempting to return containers before the expiration of free time and daily thereafter (CF10, see also replies to CF 5, 9, 23, 25, 45, 83 and 90). Furthermore, COSCO's attempt to cherry pick a few dates on which Access was unable to provide Blue Cargo screenshots does not vitiate Access' inability to return the containers on a daily basis (CF 10, 20, 23, 24, 25). COSCO has not provided any contrary evidence to show that space and appointments were available during those times. Instead, as indicated by the testimony of Mr. Thompson, Access, on a daily basis, attempted to return containers back to COSCO and was unable to do so (CF 10, 20, 23, 24, 25).

COSCO's interpretation of this premise is also faulty. Per COSCO's reading, if a motor carrier misses one empty return appointment for whatever reason it will be charged in perpetuity for any additional dates on which appointments were not available up until the time the container is returned. Assessing detention is not based on the party game of musical chairs. If COSCO had its way, once a motor carrier was the odd man out and missed a possible appointment, he forever would be "out" and have to pay detention until return of the empty regardless of the circumstances. Such is not the holding of *TCW, id.*

COSCO, without any evidence whatsoever, attempts to deflect its responsibility to provide adequate terminal facilities onto Access, baldly claiming Access should have worked second shifts and weekends. Notwithstanding its lack of evidence for such a claim it had knowledge that Access routinely returned empty containers on the weekends, COSCO's one attempt to suggest returns during second shifts and weekends were available was immediately rebuffed by Access, when it

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confirmed no appointments were available at that time (CF 26, 27; Access replies to CF 5, 9, 23, 25, 45, 83 ,90; Access' response to RPFF47 and 48). Also, COSCO's admission that Access provided evidence to demonstrate container return appointment unavailability for 319 containers (see COSCO Response to CF 68) belies its argument that Access was not doing all it could to return empty containers on a timely basis.

In sum, Access has shown it has complied with the three "criteria" claimed to have been established by *TCW, id.*

3. 46 C.F.R. §§541.7 and 541.8 were effective well after the Relevant Time Period and have no retroactive effect.

COSCO attempts to rely upon the dispute resolution procedures found in 46 C.F.R. §541.8 to absolve itself of its failure to verify the validity of the detention charges before billing Access. Once again, this is the theme of COSCO's defense, i.e. "it is not my responsibility" and "it was not my fault". First, 46 C.F.R. §§541.7 and 541.8's effective date was May 28, 2024, well after the Relevant Time Period and has no retroactive effect. *Bakerly, LLC v. Seafrigo USA, Inc.*, FMC Docket No. 22-17, Order by the Commission affirming Initial Decision at pg. 34 (2024). Even if applicable, as more fully explained below, the dispute resolution provisions in §541.8 do not absolve COSCO from its responsibility to issue a valid invoice in the first instance. 46 C.F.R. §541.6 (e) make it clear a common carrier must issue accurate invoices. It provides: "Certifications. A demurrage or detention invoice *must be accurate* and contain statements from the billing party that:

(1) The charges are consistent with any of the Federal Maritime Commission's rules related to demurrage and detention, including, but not limited to, this part and 46 CFR 545.5; and

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(2) The billing party's performance did not cause or contribute to the underlying invoiced charges". Emphasis added.

B. Claims under 46 U.S.C. §41102(c) include but are not limited to violations for issuance improper detention invoices.

Without any authority, COSCO argues that its alleged violations of 46 U.S.C. §41102(c) do not include its continuing refusal to have adequate space for the return of empty containers, causing damage to Access (see Generally COSCO Opposition Brief at pg. 14-16), and instead claims such violations are only tied to unlawful billing practices. A simple reading of 46 U.S.C. §41102(c) is not so limited; it states: “(c) *Practices in handling property. A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.*” Access has demonstrated COSCO’s violations of 46 U.S.C. §41102(c) through the lens of 46 C.F.R. §545.4, include unlawful billing practices, failure to refund detention and COSCO’s inability to have adequate space and appointments for its empty container returns causing damage to Access. See also 85 FR 29638, 29650 (2020).

C. COSCO Once Again Admits That It Has Waived Charges Due The Inability To Have Adequate Space And Appointments To Return Empty Containers And Has Admitted Access Demonstrated Container Return Unavailability For At Least 319 Containers.

COSCO equivocates in its arguments concerning whether or not its cancellation of detention charges was a result of its realization that inadequate space and appointments was available for the return of empty containers. When discussing the effect of the interpretive rule at 46 C.F.R. §545.5, COSCO stated "at the same time, the FMC also identified that, in some cases,

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detention charges could not perform that function, specifically where the "terminal refuses to accept the container" and in those cases the charges should be canceled or waived (as COSCO did with respect to the vast majority of charges to AOT)" COSCO Opposition Brief pg. 3 , emphasis added. That is an admission showing COSCO acknowledges that the terminals in their vernacular “refused to accept the container”. If that wasn’t clear enough, COSCO has also admitted Access “was able to demonstrate container return appointment unavailability” see COSCO Response to CF 68 and 39. Furthermore, although COSCO tries to equivocate later in their brief as to the reasoning behind its cancellation of the charges, COSCO has provided no evidence whatsoever that it canceled the charges related to Access for any other reason besides lack of empty return availability in the LALB. COSCO has not proffered any evidence to provide any different reason for the cancellation of the invoices and for that reason alone should be estopped from making this argument, (see CF 35, 36).

Redacted

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] With the exception of only one invoice which has been removed from consideration of this case, which was only partially cancelled, COSCO cancelled the remaining unpaid invoices, see CF 39.

D. COSCO Does Not Deny It Did Not Have Adequate Facilities But Rather, Blames The Problem On Others Such As Its Designated Terminals And Access

COSCO acknowledges that as early as 2020 to 2021 there were supply chain and logistics difficulties in around LALB, COSCO Opposition Brief, pg. 2. What this shows is that as early as 2020, COSCO was aware of these problems but did nothing to rectify them for years. The Relevant

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Time Period here is July 2021 through October 2022. Thus, by COSCO's admission, it basically sat on its hands for nearly 1½ years “stuck its head in the sand” and pushed off the responsibility to have adequate terminal facilities for the return of empty containers to others.

COSCO complains that there is no "authority" showing that a carrier must have adequate facilities for the return of its empty containers *except for the citation in the FMC rule making*. It is curious as to why COSCO would make this argument, when it admits this fact, see COSCO Response to CF 115. It is equally curious why COSCO would need “authority” for this proposition after its admission. The Commission has indicated it is fundamental that a carrier must have adequate facilities for its operations including the return of its empty containers. How can that fundamental tenant be challenged with a straight face is beyond comprehension.

Instead, without any authority, claims it met its obligations by contracting with its designated terminals without regard to the terminal’s ability to provide adequate space or appointments for empty returns (COSCO response to CF 115). For the avoidance of doubt, if necessary, this Presiding Officer could make a finding that it is the ocean carrier's obligation to have adequate facilities for its operations including space and appointments for the return of empty containers. Any failure of a terminal to not have space or appointments is between the common carrier and the terminal.

COSCO complains about this basic premise in absolute terms bemoaning that it cannot "always" have space available at any given time for any given container COSCO Opposition Brief at pg. 14. However, that is not the case here or reflective of the arguments being made by Access. Instead, under §41102(c), a carrier is responsible, and can be shown to be violating the Act, when it commits an unjust and unreasonable practice with regards to the receiving, handling, storing or delivering of property *on a normal, customary, and continuous basis*. 46 C.F.R. §545.4,

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emphasis added. This implies the continuing disregard of its obligations, not a one off failure, to have space and appointments for the return of empty containers. The fact that the Relevant Time Period here for Access' case alone is over the course of 16 months shows this continuing practice. COSCO adds to its own woes by claiming that these issues began occurring in 2020, nearly 18 months before the Relevant Time Period herein. Access is not complaining about a single or handful of dates where empty returns were unavailable, but rather a continuous and systematic refusal of COSCO to accept its obligations to provide adequate return availability for its empty containers causing damage to Access and thereafter billing Access for detention thereon!

If the terminals which it contracted with did have adequate space or appointments to return empty containers, then COSCO should have sought out other alternatives. For example, COSCO itself has indicated that the State of California attempted to provide additional state owned lands for the return of empty containers, COSCO Opposition pg. 15 fn. 5. Nothing prevented COSCO from seeking its own commercial alternatives for the lack of space, but yet COSCO makes no mention of any efforts made by COSCO to provide alternative locations for the return of empty containers or any efforts to ensure its existing terminals had adequate appointment. Instead, it expected motor carriers store their containers free of charge while COSCO ignored its logistics inabilities.

IV. COSCO IS RESPONSIBLE TO INSURE ITS INVOICES ARE VALID

COSCO's argument that it is not required to provide truthful and valid detention invoices is indicative of COSCO's attitude to its obligations under the Act and its response to Access' claims thus far. In its reply, COSCO attempts to use (the inapplicable) 46 C.F.R. § 541.8's dispute resolution obligations to try and defend its practice of failing to ensure that it has adequately investigated the detention charges prior to issuing an invoice. COSCO states that its processes are

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automated and that to comply with the Act would be costly, COSCO Opposition Brief pp. 17-19,. Reliance upon §541.8 is inappropriate since its effective date was May 28 2024, well after the Relevant Time Period and the regulation has no retroactive effect *Bakerly, LLC v. Seafrigo USA, Inc.*, FMC Docket No. 22-17, Order by the Commission affirming Initial Decision at pg. 34 (2024) Even if somehow the dispute resolution processes applied, COSCO once again conveniently ignores its companion regulation at 46 C.F.R. §541.6(e) explicitly states that before a carrier may issue any invoice it "**must be accurate**" and contain statements from COSCO that:

(1) The charges are consistent with any of the Federal Maritime Commission's rules related to demurrage and detention, including, but not limited to, this part and 46 CFR 545.5; and

(2) The billing party's performance did not cause or contribute to the underlying invoiced charges".

While OSRA 2022 and 46 CFR Part 541 contain more specific obligations on an ocean carrier's detention invoice practices, prior to these newer regulations, the Act did not previously excuse a carrier from issuing illegitimate charges (for example see, *Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC, Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket 21-09, 4 F.M.C. 2d 53 (ALJ April 22, 2022)). COSCO, like any other common carrier, does not get a free pass issuing invoices which are invalid to simply rely upon an end user to challenge the charges. Here, in addition to other potential violations, COSCO commits a potential violation by issuing the wrongful detention invoice in the first instance. A *further* violation could be the carrier's failure to adequately address the detention invoice during the dispute process. Those two actions are distinct. Furthermore, whether or not a detention charge was assessed is not dispositive as to other damages which Access has claimed resulting from COSCO's inability to have adequate space and appointments to accept the return of empty containers in the first instance. As argued, COSCO's

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continuing inability to have adequate capacity and appointments for the return of empty containers is in and of itself a violation of the Act.

COSCO also attempts to ignore the fact that it waived detention charges for the same dates on which it is attempting to collect detention charges. The facts from Access' side do not change. It attempted to return containers on those dates, but arbitrarily COSCO waived charges on some of the containers but not others without any explanation. COSCO attempts to characterize Access' argument as "poppycock" but yet offers no evidence as to why on certain circumstances it did in fact waive charges and in others did not. Instead, it admits Access was able to demonstrate container return appointment unavailability for 319 containers and their associated billed dates, see COSCO Responses to CF 39 and 68. COSCO's speculative pontification as to why it may have treated the waivers for the return of containers on the same date differently does not amount to evidence upon which it can rely. COSCO did not supply any evidence supporting the disparate treatment including its opportunity to respond to discovery to those specific questions and its proposed facts herein (CF 35, 36). Without supporting evidence or authority, simply, COSCO's arguments that it somehow did not arbitrarily decide to cancel one invoice over the other should be disregarded.

V. ACCESS ADEQUATELY ADDRESSED COSCO'S VIOLATIONS OF 46 USC §§ 41104(A)(3) & (8)

Although COSCO takes great pains into arguing against violations of the Act at 46 U.S.C. §§41104(A)(3) & (8), Access One believes that it has adequately addressed these issues in its opening brief. Additionally, COSCO made similar arguments in its motion for partial dismissal which was denied (see Docket 24-13, Order Denying Partial Motion to Dismiss issued June 4, 2024). These violations all have in their basis the unreasonableness of dual transactions. Any

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anecdotal articles about attempts to encourage dual moves do to not excuse violations of the Act. Apart from its prior arguments, As has been shown by Access, dual moves here did not contribute to freight fluidity, instead it caused the opposite effect. Access would like to point out that COSCO admits that dual transactions necessarily favor some motor carriers over the other (for example see COSCO Opposition Brief at pg. 25). Furthermore, Access' claims regarding these violations are not limited to the remaining 61 containers that continue to be billed with detention, but instead, the violation had already occurred when COSCO insisted on the return of empties when only dual transactions were offered, thereby causing damage to Access, not only from detention invoices received, but also for detention paid and also storage charges and the like.

VI. ACCESS HAS PROVEN THAT COSCO PROXIMATELY CAUSED THE DAMAGES REQUESTED.

Reparations are awarded on actual damages, which means, “compensation for the actual loss or injuries sustained by reason of the wrongdoing.”, *Tractors & Farm Equipment Ltd. V. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798 (ALJ Nov 23, 1992); *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1230, WL 427466 at 23 (FMC Oct 19, 1990). The aggrieved party does not need evidence of absolute precision, but instead is only required to produce evidence sufficient to reasonably infer the actual loss sustained, *MAVL Capital Inc. v. Marine Transport Logistics, Inc.* Docket No. 16-16, 2022 WL 2209421 at *3 (FMC June 10, 2022). Actual injury” also includes the loss of interest compounded from the date of injury. 46 U.S.C. § 41305(a); see also *Gruenberg-Reisner FMC*, 2016 WL 11942284, at *10.

As indicated in Access' opening brief, CFs, Appendix, the reply herein and its supporting documents, Access has adequately shown that COSCO has violated the Act in multiple ways:

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1. That it issued detention invoices for dates in which there was no ability to return an empty container for reasons outside of the control of Access and did not adequately and timely address disputes (now admitted for 319 of the 379 containers at issue, see COSCO Response to CF 39 & 68).

2. COSCO was arbitrary and capricious in its cancellation of invoices for detention billed on different containers for the same dates.

3. That dual transactions were required to return containers on some dates.

4. That as a result of COSCO's inability to accept empty containers on a routine and timely basis caused Access to be forced to store COSCO's containers, use precious chassis and incur additional services for stop off and delivery charges. COSCO also admits Access incurred these services without compensation, (see CF 50-52 and COSCO's Response to CF 68)

Access' prayer for damages includes, cancellation of outstanding invoices, the refund of charges paid on improper detention invoices, damages resulting imposing dual transaction requirements and from COSCO's inability to timely accept empty containers related to storage, chassis, stop off and re-delivery charges. While the prayer for cancellation and refund of paid detention charges is limited to a subset of the containers and invoices. Access' damages for storage, chassis, stop off and re-delivery charges apply to ALL containers, even if detention charges have been or will be cancelled.

COSCO argues that Access should have submitted receipts or proof of payment to show damages. Establishment of damages is not so limited. The damages suffered by Access are based on COSCO's misappropriation of Access' *services* without compensation. Those services included being responsible to store COSCO's containers, having the containers be required to sit on chassis (which was under a severe shortage at the time as well, CF 91) and then as explained by testimony

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on behalf of Access (CF 93-96) instead of being able to take a container directly from a consignee's place of business to a terminal, it was forced to bring it back to the Access yard, and thereafter, re-deliver the container to the terminal once space opened up. These are services provided by access and thus, they were damaged in having to incur them without being compensated by COSCO (or anyone else) therefor CF 50-52. Access has provided testimony and demonstrative evidence to support the services performed and the reasonable charges thereon. COSCO has not provided any counter evidence as to the value of Access's services nor does COSCO dispute the services were rendered. Access' claimed damages are directly and proximately caused by COSCO's violation of the Act, and therefore, Access is entitled to recovery of those damages. Indeed, notwithstanding its denial of liability, COSCO admits Access suffered these damages, see CF 50-52 and COSCO's Response to CF 68.

Likewise, the damages claimed by Access are not speculative nor are they barred by any other remedies Access may have had against COSCO. Instead, they were based upon services provided by Access resulting from COSCO's violations of the Act, for which a reasonable charge is being assessed by Access to COSCO. Even if a breach of contract claim exists between COSCO and Access (as COSCO contends), COSCO is not insulated from being assessed damages for its conduct that violates the Act. *MSRF, Inc. v. HMM Co. Ltd.*, FMC Docket 22-20, 7 F.M.C. 2d 85, 101 (ALJ Nov. 22, 2023) "...the Commission found that it is appropriate to assert jurisdiction over Shipping Act violations, regardless of whether they may overlap with breach of contract claims...".

COSCO complains that having billed COSCO by Access does not justify the charge, but instead, it was not meant to be a "justification." But rather, it is demonstrative evidence to show the dates on which Access provided storage, chassis usage, and where applicable, drop off and re-

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delivery fees and the associated rate billed, CF 48-49. The information contained in those invoices shows the container identification, the dates applicable charges were assessed as to that container and the rate. That information was also summarized in Access One Claim Summary (CF 48-49). Access' damages were also supported by declaration testimony of Suzuki and Ogawa, CF 46-52. COSCO has not provided any contra-evidence to show that the billed charges submitted by Access are unreasonable to compensate Access One for the services it provided⁸.

A. Access did not fail to mitigate its damages

COSCO points to nothing, except speculation without evidence, as to how Access could have mitigated its damages. It argues at pp. 40-42 of its Opposition Brief:

1) Access should have attempted to tender the empty container back before the last day of free time. This assertion falls flat on its face. Free time is just that, a motor carrier (and corresponding consignee) has up to the last day of free time to return an empty container. If motor carriers must now be held to a standard that they must deliver it before the expiration of free time, free time in and of itself would be illusory.

2) Without any evidence whatsoever, COSCO argues Access could have mitigated its damages by "better management of its dispatch operations" or by returning containers on weekends. Access has provided testimony that on a daily basis, it attempted to return containers during free time and thereafter, and has shown it did in fact return containers during the weekend when available, see CF 5, 9, 23, 25, 45, 83 and 90. COSCO has not provide any evidentiary support for its assertion that Access could have internally or externally avoided this situation. Instead for

⁸ Also, please be aware that COSCO erroneously, through its brief, mislabels the storage of the container as "chassis storage." Instead, AOT was clear in that it was providing storage for the container separate from its chassis charge.

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319 of 379 containers and the dates associated with the detention charges thereon, Access had demonstrated the lack of appointment availability, see COSCO's Response to CF 68.

3) COSCO argues Access could have avoided stop off or redelivery charges if it had delivered empties to COSCO's [*unidentified*] alternative locations. Access explained that because of the continuing issues with the inability to return containers, operationally it brought the empties to its yard so that it would be better able to quickly return an empty to a terminal once appointments became available CF 47. This adopted process also is in direct contradiction to COSCO's assertions that Access' operations caused the inability to return empty containers. Instead, it is indicative it was doing everything in its power to return the empty containers. Again, for 319 of 379 containers and the dates associated with the detention charges thereon, Access had demonstrated the lack of appointment availability, see COSCO's Response to CF 68.

4) COSCO claims Access failed to prioritize the return of the longest overdue containers. Once again this assertion without evidence and has no bearing as to the amount of damages suffered by Access. Storage, Chassis, stop off and redelivery charges were not dependent on the length of which containers sat after free time expired. Access did not have a sliding scale of charges based on dwell times. Instead, it charged storage etc., for containers on hand. If a container was returned, the charges associated with that container stopped regardless of how long the container may have been in Access's possession. COSCO has not provided any evidence to the contrary.

VII. ACCESS IS ENTITLED TO ADDITIONAL DAMAGES UNDER 46 U.S.C. §41305(c)

46 U.S.C. §41305(c) provides: "*(c) Additional Amounts.—On a showing that the injury was caused by an activity prohibited by section subsection 1 (b) or (c) of section 41102, paragraph (3) or (6) of section 41104(a), or paragraph (1) or (3) of section 41105, the Commission may order the payment of additional amounts, but the total recovery of a complainant may not exceed twice*

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the amount of the actual injury.” Access, as the prevailing party and having shown it was damaged by COSCO’s violations of 46 U.S.C. §41102(c) and 41104(a)(3) should be granted additional damages up to double its awarded damages in the Commission’s discretion. There is little precedent as to the standards supporting additional damages under §41503(c) in a private complaint setting. In at least one instance the Commission found favor with adopting the use of “knowing and willful” violations to support additional damages. *OJ Commerce, LLC v. Hamburg Sud. Etc.*, FMC Docket 21-11 , Order Affirming ID, 8-27-24, pp. 11-12, 45 (FMC 2024). Access has demonstrated, especially in light of its admissions, that COSCO’s actions were admittedly intentional, knowing and willful and as such Access is entitled to additional damages.

VIII. COSCO ADMITS ACCESS HAS PROVIDED EVIDENCE IT COULD NOT RETURN EMPTY CONTAINERS FOR REASONS OUTSIDE OF ITS CONTROL.

First off, notwithstanding its arguments, COSCO admits, Access “was able to demonstrate container return appointment unavailability” for 319 containers see CF 39 and COSCO Response to CF 68.

In the COSCO’s opposition brief, COSCO also grudgingly admits: “Even assuming *arguendo* that Complainant can demonstrate a right to reparations for the 42 containers for which **AOT provided some** (albeit insufficient) evidence that it could not return them during the demurrage period for reasons outside its control, Complainant’s losses would be capped at a total amount of \$27,560.” (COSCO Opposition Brief, pg. 42). Access contends it has demonstrated the right to all reparations not just \$27,560.00, but what is significant, is that COSCO admits Access at least provided “some” evidence that it could not return the identified 42 containers (of the remaining 61 containers not previously waived). The evidence that Access provided for ALL containers was nearly identical; testimony showed Access inability to return empty containers

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through no fault of its own, backed up by documentary evidence such as COSCO's cancellation of hundreds of invoices, email communications, and Blue Cargo screen shots. If Access provided sufficient information for the 319 containers previously waived, and the 42 containers identified by COSCO, it has provided sufficient evidence for the remainder as well.

CONCLUSION

Access has established by a preponderance of the evidence COSCO's violations of the Act at §§41102(c), 41104(a)(3)&(8). Access has also demonstrated by a preponderance of the evidence that it has been damaged because of COSCO's violations. Access is entitled to an award of reparations in the following amounts, plus attorney's fees to be subsequently determined per 46 U.S.C. §41305(a), 46 C.F.R. §502.254.

Storage charges of \$115,975.00

Chassis charges \$103,080.00

Stop over charges \$30,750.00

Re-delivery charges \$19,680.00

Refund of paid invalid detention charges: \$45,995.00

Total principal amount of damages: \$353,985.00

Additional damages per 46 U.S.C. §41305(c)

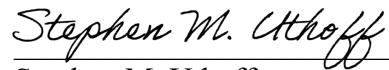
Prejudgment interest according to proof

Attorney's fees according to proof.

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Date: January 31, 2025

Respectfully submitted,

A handwritten signature in black ink that reads "Stephen M. Uthoff". The signature is written in a cursive style with a horizontal line underneath it.

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CERTIFICATE OF SERVICE

I hereby certify that on January 31, 2025, the foregoing COMPLAINANT'S REPLY BRIEF has been served upon all interested persons and parties by electronic means pursuant to the below list.

On today's date, a further hard copy has also been sent to the Presiding Administrative Law Judge at the below address via courier for next business day delivery and a hard copy has been sent via courier to counsel for respondent at the below address for next business day delivery.



Stephen M. Uthoff

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